الطالب الأكاديمي
THE ACADEMIC STUDENT

Name: .....

ID .....

Faculty of Business Studies
Principles of Macroeconomics ECO102
Final Assessment – Form B

Fall 2025-2026

20 – January – 2026

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 2 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examir
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Polic

Academic year	2025-2026
Semester	Fall
Exam type	Final Exam
Exam date	
Section No.	

Question	Mark	Signa
Q1		
Q2		
Q3		
Q4		
Total		
In words:		

COMMENTS:

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Question One (12 marks)

Select the correct answer and write it in the space provided. (2 marks for each question).

Q1:	
1.. What does *deflation* mean? A. A continuous fall in the average price level B. A fall in the money supply C. A temporary fall in prices D. A rise in the value of imports	**1.** Answer:
2. Which of the following is the main purpose of the Consumer Price Index (CPI)? A. To measure the total production of goods B. To measure changes in the cost of living C. To calculate government spending D. To measure population growth	**2.** Answer:
3. Which component has the largest share in the CPI basket? A. Food and beverages B. Housing C. Transportation D. Medical care	**3.** Answer:
4. What is the first step in constructing the CPI? A. Calculating the inflation rate B. Conducting a monthly price survey C. Selecting the CPI basket D. Comparing prices between years	**4.** Answer:
5. If the CPI in 2015 = 100 and the CPI in 2020 = 125, it means that: A. The average price level has decreased by 25% since 2015 B. The average price level has increased by 25% since 2015 C. Prices have doubled since 2015 D. There has been no change in the average price level	**5.** Answer:
6. Which of the following is NOT one of the four biases in the CPI? A. New goods bias B. Quality change bias C. Income bias D. Outlet substitution bias	**6.** Answer:

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QUESTION TWO: (12 MARKS)

2a. What is meant by nominal wage and real wage? (4 marks)

2b. A worker's nominal wage increased from $3,000 per month in 2023 to $3,300 per month in 2024. During the same period, the CPI rose from 150 to 165.

- Calculate the inflation rate. (4 marks)

- Did the worker's real wage rise or fall? Explain. (4 marks)

QUESTION THREE: (12 MARKS)

Suppose a basket of goods and services has been selected to calculate the CPI, and 2010 has been selected as the base year.
In 2010, the basket's cost was $80;
in 2012, the basket's cost was $88;
In 2014, the basket's cost was $92.

3a. Calculate the value of the CPI in 2014 using 2010 as the base year. Show your calculations.

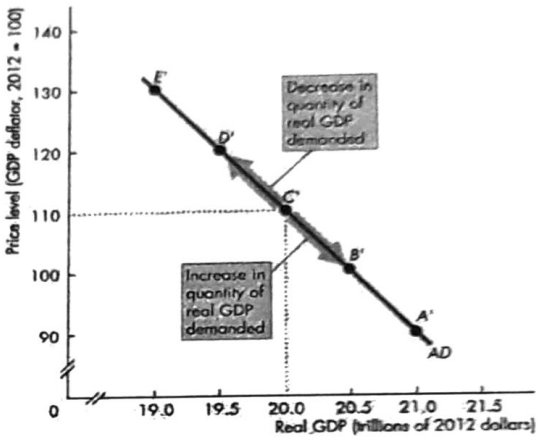
3b. Explain the result.

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QUESTION FOUR (14 MARKS)

4a- Explain what does the Aggregate Demand Curve show? (6 marks)

4b- The following diagram shows the Aggregate Demand Curve. It slopes downward, one of the reasons behind its downward slopping is the substitution effect. Explain it. (6 marks)



End of Questions